

Challenges to the Possibility of Welfare Economics

In a world emerging from the ruination brought by World War II, it should come as no surprise that as the age of economics entered its neoclassical era, there was evidently a return to the suspicions that once drove the classical thinkers of value and those who shed doubt on the role of government nearly two centuries ago. Indeed, while Adam Smith was writing in a time when mercantilist policy had nearly suffocated Europe with its constricting mission, thinkers such as Kenneth Arrow and Ronald Coase were living in the shadow of an authoritarian outbreak. Notwithstanding the fact that it was overly cautious deflationary policy that led to the radical alternatives to begin with, the economic control that the wartime governments demonstrated clearly had its consequences. As a result, people began not only to question the role of government, but the expectation of welfare economics in general.

In the case of Arrow, his flavor of doubt returns to the same kind of reliance on axioms that plagued thinkers like Robbins and those who believed that an aggregate of sorts merely reduced these largely deductive topics. Here, the focus was on preferences versus values and whether the construction of a social welfare function was glossing over how one considered the two. For Coase, the benefit that a government could hypothetically bring to a market decision was offset by the very nature of government itself, which in his eyes was no different at its core than those firms directly involved in the market. That being said, I find it useful to approach this problem in the same way that Harrod once approached Robbins and later how Igersheim

approached the history of the Bergson-Samuelson distinction, and that is to support the claim of a normative component in economics. In the context of neoclassical economics, Arrow and Coase may have been asking the right questions given their time, but that is not necessarily grounds to disprove the role of government as a whole. Not only that, the very positions that neoclassical economists argue for are based on normative positions that cannot entirely be based on logic.

Arrow begins his analysis by creating a scenario where the ranked preferences of three different groups results in a stalemate. Obviously, and Arrow himself acknowledges this, there are workarounds to avoid a paradox which is innate to the process of determining non-linear social choice patterns (Arrow 1950, 330), but the point he is trying to get at is that in any case where individual choices are made an average, either by taking votes or looking at market reactions in a participatory setting or relying on dictatorships or conventions in a non-participatory setting (Arrow, 328), known individual choices are difficult to translate into a pattern that can guide these decisions. In practice, this would mean that any method that combines people's choices will have results that oppose the majority's decisions. If we follow the reasoning to its end, Arrow's problem with the aggregate is that the only way to move from tastes and values, which based on how individuals choose to consume and what society considers a benchmark can be interchangeable and occur at the same time, to real social preferences (the thing that ultimately informs policy) is a contradiction to some of the very foundations of the SWF, namely, that the SWF not be imposed and that the SWF not be dictatorial (Arrow, 339). On these conditions, Arrow drew them from the assumption that the sovereignty of citizens be respected, or in welfare function terms, that people be allowed to form preferences for things, as

well as from the assumption that society has a leaning toward “collective methods of social choice” rather than one individual serving as the final word.

Though one can probably intuit why imposition and dictatorship are wrong without the need for a deductive proof, Arrow and many other neoliberals would probably insist that they make their point. To their end, they argue that the result of a “possibility theorem” (Arrow, 342) would make it so that an individual ordering of choices is impossible with a collective rationality. One step further, and “there is no meaning to total output independent of distribution, i.e., of ethical judgements” (Arrow, 344). Interestingly, I find that the conclusion which Arrow arrives at to be a familiar story. Behind the rhetoric which serves as a libertarian’s nightmare is an unfalsifiable truth: economics can never be separated from the political. The economics decisions that Arrow and Coase support, though disinterested in presentation and logical in writing, are in reality no less political than that of a New Deal economist or a post-Keynesian. As the economist Steven Medema continues to put in his work, *The Hesitant Hand: Taming Self-Interest in the History of Economic Ideas*, the question surrounding externalities equally as legal as they are economical (Medema 2011, 105), which by proxy forces the ethical question as laws are as un-axiomatic as you can get. And no matter how much the scientific idealists push the idea that economics is not about “what ought to be” and is focused on “what is”, there is no escaping what an underlying prescriptive goal is when Ronald Coase suggests the increased use of “marketable pollution permits” over Pigouvian or other governmental corrections in dealing with negative externalities (Medema, 124). Besides the fact that this free-market environmentalism reeks of energy sector lobbying, this kind of economic advice is in no way descriptive of things that cannot be changed; it is a direct stance against government intervention and must be able to defend itself not only in the market but also in the marketplace of ideas.

In this area, according to Medema, it fails also. At best, Coase presents a number of complexities that affect how internal costs should be quantified but never overcomes the challenge of whether or not they should be to begin with (Medema, 105). His ultimate stance on government is one that continues to be held today, but to much less remarkable terms in all honesty, and that is the fear that governments will run away with the agenda given their special status as a “super-firm” (Coase, 17), meaning they can avoid the consequences of the market altogether. To that point, I would simply respond with what left-wing economists have been doing for ages, and that is whether we believe a democracy can exercise more control over its state than its corporations. Ignoring whatever incentives exist for these firms in theory, time has shown again and again that failures, many of which are the financial sector’s responsibility and a man-made effect of speculative behavior, need to be corrected by the government. To put it in less formal terms, no one is an atheist in a foxhole and no one is a libertarian in a bank run.